

Digital Marketing

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Digital Marketing

Definition:

Digital marketing uses online and digital technologies such as computers, smartphones, and online platforms to promote products and services.

Example:

Daraz uses Facebook, TikTok, and its website to promote its sales campaigns in Nepal.

Benefits:

1. **Know the audience** – Daraz tracks what users search/buy to understand preferences.
2. **Low cost** – Running a Facebook ad is cheaper than printing posters.
3. **Global reach** – A small seller on Daraz can sell to customers anywhere in Nepal (or abroad in some cases).
4. **Adaptability** – Ads can be stopped or edited instantly if they don't perform well.
5. **Personalization** – Daraz shows recommended products based on your past purchases.

Online Advertisement

Definition:

Online advertisement is paid marketing through the internet to deliver promotional messages.

Example:

Daraz places banner ads on news websites (like OnlineKhabar) showing “11.11 Sale – Up to 50% Off.”

Forms of Online Ads:

- **Email Marketing:** Daraz emails customers about discounts.
- **SEM (Search Engine Marketing):** Daraz pays Google so its products appear on top when someone searches “buy smartphone in Nepal.”
- **Social Media Ads:** Sponsored posts on Facebook/TikTok showing Daraz deals.
- **Display Ads:** Banner ads on different websites.
- **Mobile Ads:** Pop-up offers in apps.

Programmatic Advertising:

When ads are bought and placed automatically using software.

- *Example:* Daraz uses Google Ads' automatic bidding to place ads at the right time to the right people.

Ad Targeting

Definition:

Ad targeting is placing advertisements strategically to reach a clearly defined audience, based on behavior and interests.

Example:

- A customer searches “laptop” on Daraz.
- Next day, they see Daraz ads for laptops while browsing YouTube.
- This happens because the ad is **targeted** to laptop-interested users.

Why it Works:

- Customers feel ads are relevant to them.
- Increases chances of buying because ads match their needs.

Search Engine Marketing (SEM)

Definition:

Search Engine Marketing (SEM) is the practice of using search engines to build brand awareness and drive sales through paid advertisements.

- **Search engine advertising** supports direct sales by placing ads in front of people searching for related products.
- Google dominates SEM globally with over 90% market share in Western Europe.
- The average click-through rate (CTR) for SEM ads is around 2%.

Example:

When a user in Nepal searches “**buy mobile phone online**”, Daraz or SastoDeal ads appear at the top of Google results.

Types of Search Engine Advertisements

1. Pay-Per-Click (PPC) / Keyword Advertising

- Businesses **bid on keywords** people search on Google (or other search engines).
- If you bid higher, your ad shows at the **top of search results**.
- You **pay only when someone clicks** on your ad.

Example:

Daraz bids for the keyword “**Samsung phone price in Nepal.**”

- When people search this on Google, Daraz’s ad appears at the top.
- If a user clicks, Daraz pays Google for that click.

Think of it as paying Google to “rent” the top search spot.

2. Network Keyword Advertising (Contextual Advertising)

- Started by **Google AdSense (2002)**.
- Website/blog owners allow Google to place ads on their sites.
- Advertisers pay Google → Google shares money with the site owner.
- Ads are **related to the content** of the page.

Example:

- A Nepali tech blog writes an article about laptops.
- Google shows ads for **Dell laptops on Daraz** inside that blog.
- If a reader clicks the ad → Daraz pays Google → Google pays the blog owner a share.

Think of it as Google being a “middleman” between advertisers and website owners.

Search Engine Optimization (SEO)

Definition:

Search Engine Optimization (SEO) is the process of improving a website’s visibility in search results through content and design optimization.

How SEO Works:

- Use relevant keywords on web pages.
- Update content frequently.
- Make site design readable for search engine crawlers.

Example:

If Daraz publishes a blog titled “**Best Budget Smartphones in Nepal 2025**” with the right keywords, it can appear on the first page of Google search results without paying for ads.

Semantic Search

Modern search engines (like Google) use **semantic search** to understand user intent, not just keywords.

Example:

If a user searches “**cheap gaming laptop**”, Google may also show results for “**affordable laptops for gamers**”, even if the word “cheap” is not present.

Display Ad Marketing

Display ad marketing is a type of digital marketing where promotional content (image, video, or interactive media) is shown on websites, apps, or social platforms to attract customers.

Common Types of Display Ads

1. Banner Ads

- Oldest and most common form of display ads.
- Appear as rectangular boxes (top, bottom, or side of a webpage).
- Least effective but also lowest cost.

Example: When reading news on *Kathmandu Post Online*, you see a rectangular ad for **Ncell data pack** on the sidebar.

2. Rich Media Ads

- Ads that use animation, video, or sound.
- Built with HTML5 or JavaScript.
- More engaging than static banner ads.

Example: A **Daraz festive sale ad** where the banner moves or plays sound effects.

3. Interstitial Ads

- Full-page ads that appear **between page loads**.
- Interrupts user flow but grabs attention.

Example: When you open a mobile game app, a **Foodmandu full-page ad** pops up before the next level starts.

4. Video Ads

- Similar to TV commercials but online.
- Play before, during, or after online videos.

Example: A **Coca-Cola ad** that plays before a YouTube video starts.

5. Sponsorship

- Advertiser ties their brand to an event, information, or venue.
- Focuses on branding more than sales.

Example: **Ncell sponsoring a live cricket match stream** on YouTube.

6. Native Ads

- Ads designed to **blend with website content** so they don't look like ads.
- More effective as users don't feel "disturbed."

Example: A blog article titled "*Best Smartphones in Nepal 2025*" with a **sponsored listing from Samsung**.

7. Content Marketing

- Creating valuable content to promote a brand.
- Placed across websites, social media, and blogs.

Example: Daraz writing an article "*How to choose the right laptop*" and linking it to their product page.

8. Advertising Networks

- Advertising networks connect **advertisers** (who want to promote) with **publishers** (who have website space).
- Publishers earn revenue by allowing ads to run on their sites.

Example: A Nepali travel blog joins **Google AdSense** and shows ads for trekking gear.

9. Ad Exchanges, Programmatic Advertising & Real-Time Bidding (RTB)

- **Ad Exchanges:** Digital marketplaces that match advertisers and publishers.
- **Programmatic Advertising:** Automated buying and selling of ads.
- **Real-Time Bidding (RTB):** Auction system where advertisers bid in real time to show their ad on a webpage.

Example: When you browse **HamroPatro**, an RTB system may instantly decide whether to show you an **eSewa wallet ad** or a **Khalti ad**, based on your interests.

Email Marketing

Definition:

Using email to send promotional messages, request sales, donations, or build brand trust.

Objectives:

- Build loyalty
- Increase trust
- Improve brand awareness

Types of Email Marketing

1. Transactional Emails

- Triggered by a customer's action.
- Purpose: provide information about that action.

Example: When you order from Daraz, you get an email: *"Your order #123 has been shipped."*

2. Direct Emails

- Promotional emails sent to a list of customers.
- Purpose: promote products or services directly.

Example: A clothing store sends an email: *"Flat 50% Off Dashain Sale – Shop Now."*

Affiliate Marketing

- A type of **performance-based marketing** where firms pay commission (usually **4%–20%**) to other websites (blogs, influencers, or affiliate sites) for sending customers to their website.
- The affiliate earns only when a **user clicks the link** or **makes a purchase** (pay-for-performance).
- About **10% of online retail sales** come from affiliate programs.

Example:

- Amazon Associates: More than 1 million websites promote Amazon products. If someone clicks their link and buys, the site earns up to **10% commission**.
- A Nepali blogger writes a review of "Best Laptops in 2025" with **Daraz affiliate links**. If readers buy, the blogger earns commission.

Mobile Marketing

- Marketing activities designed for **mobile devices** (smartphones, tablets).
- Includes:
 - **Banner ads** inside mobile apps/games
 - **Rich media ads** with video and sound
 - **SMS and email marketing**
 - **QR codes** for scanning
 - **Location-based ads**
- Facebook is the leader in mobile ads, followed by Google and Twitter.
- Ad networks like **Google AdMob** and **Apple iAd** specialize in mobile ads.
- **Apps** are powerful marketing tools (shopping apps, news apps, games).

Example:

- You open **Hamro Patro** app and see a **Foodmandu ad** banner.
- Google Maps shows a **nearby restaurant ad** when you search "pizza near me."

Local Marketing

- Marketing aimed at targeting customers **based on their geographic location**.
- Strongly tied to mobile marketing because of **location-based services**.
- Tools:
 - **Geo-targeted ads** on Google Maps
 - **Daily deals & coupons** (e.g., Khalti, Daraz vouchers)

- **Social network ads** (Facebook, Instagram)

Example:

- A coffee shop in Kathmandu runs a **geo-targeted Facebook ad** only visible to people within 2 km of the shop.
- Food delivery apps show “**Free delivery in your area**” offers.

Online Marketing Metrics

General Metrics

- **Impressions:** Number of times an ad is shown.
- **CTR (Click-Through Rate):** % of people who click the ad.
- **VTR (View-Through Rate):** % of people who didn't click immediately but visited later.
- **Page Views:** Number of website pages viewed.
- **Reach:** % of target audience exposed to the ad.
- **Conversion Rate:** % of visitors who actually purchase.
- **Stickiness (Duration):** Average time spent on the site.

Example: If 1,000 people see a Daraz ad (impressions), 50 click (CTR = 5%), and 5 actually buy (conversion rate = 0.5%).

Video Advertising Metrics

- **View Time:** How long an ad stays visible.
- **Completion Rate:** % who watched the entire video.
- **Skip Rate:** % who skipped before finishing.

Example: YouTube shows a **Samsung phone ad**; if 80% watch fully, completion rate = 80%.

Email Metrics

- **Open Rate:** % of recipients who open the email.
- **Delivery Rate:** % of emails successfully delivered.
- **CTR:** % who clicked on links in the email.
- **Bounce Rate:** % of emails not delivered.
- **Unsubscribe Rate:** % who opt out of future emails.
- **Conversion Rate:** % who actually make a purchase.

Example: A clothing store emails 1,000 customers. 600 open (open rate = 60%), 100 click (CTR = 10%), 20 buy (conversion rate = 2%).

Pricing Models for Online Advertisements

1. Pricing (Basic Concept)

- Putting value on a product or service.
- Example: A website charges \$5 for an eBook download.

2. Law of One Price

- In a perfectly competitive online market with complete price transparency, the same product will have the same price everywhere.
- Example: A digital song on iTunes costs the same worldwide.

3. Demand Curve

- Shows how many units can be sold at different prices.
- Example: At \$10, only 50 people buy; at \$5, 200 people buy.

4. Price Discrimination

- Charging different prices to different groups based on willingness to pay.
- Example: Students get discounted Spotify Premium while others pay full price.

5. Free and Freemium

- Basic service is free; premium features require payment.
- Example: Zoom free plan (40-minute limit) vs. Zoom Pro (paid, unlimited time).

6. Versioning

- Offering multiple versions of the same product to target different market segments.

- Example: Microsoft Office Student version (cheaper) vs. Business version (expensive).

7. Bundling

- Offering two or more products together at a reduced price.
- Example: YouTube Premium = YouTube (ad-free) + YouTube Music in one subscription.

8. Dynamic Pricing

- Price changes based on demand or supply situation.
- Example: Uber ride prices increase during peak hours (surge pricing).

Case Studies: Social Media Marketing Tools

Facebook Marketing Tools

1. Reaction Buttons (Free)

- Users express emotions (like, love, sad, angry) on posts.
- Marketers cannot control this but it increases engagement.

2. Brand Pages (Free)

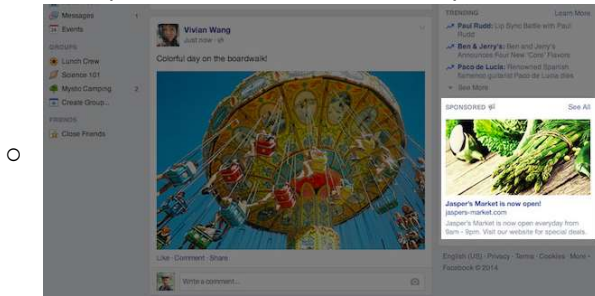
- Acts like a social business page with interaction, discussions, and community building.
- Example: Coca-Cola Facebook page where fans comment and share posts.

3. News Feed Page Post Ads (Paid)

- Sponsored brand messages appear directly in user feeds.
- Example: A clothing brand promoting “Shop Now” ads in your feed.

4. Right-Hand Sidebar Ads (Paid)

- Display ads shown on the right-hand column of Facebook.
- Example: An ad for Amazon while you browse.



5. Facebook Live (Free)

- Brands stream live video; followers interact via comments/likes.
- Example: A makeup company showing live tutorials.

6. Video Ads (Paid)

- Autoplay ads in feed (muted initially).
- Example: Netflix promoting a new series trailer.

7. Mobile Ads (Paid)

- Ads specifically shown on smartphones/tablets.
- Example: A food delivery app ad on mobile Facebook feed.

8. Facebook Exchange (FBX) (Paid)

- Retargeting ads: Users see ads on Facebook from websites they visited earlier.
- Example: Visiting a shoe website, then seeing the same shoe ad on Facebook.

Twitter Marketing Tools

1. Promoted Tweets (Paid)

- Tweets appear in search results/timelines marked as “Promoted.”
- Example: A travel agency promoting discounted flight tweets.

2. Promoted Trends (Paid)

- Hashtags placed at the top of Twitter’s Trending List.
- Example: #SamsungGalaxyLaunch promoted for a new phone.

3. Promoted Accounts (Paid)

- Brand accounts recommended in “Who to Follow.”
- Example: Twitter suggests following Nike’s account to a sports fan.

4. Enhanced Profile Pages

- Custom banner + ability to pin tweets for branding.
- Example: A movie studio pins its trailer at the top.

5. Promoted Video (Paid)

- Brands promote video ads directly.
- Example: A game company promoting gameplay trailers.

6. TV Ad Retargeting

- Showing ads to Twitter users watching a specific TV program.
- Example: People tweeting about a cricket match see sports drink ads.

7. Lead Generation Card (Paid)

- Promotional offers (coupons, sign-up forms) in the Twitter feed.
- Example: “Sign up now for a free trial” shown as a card.

8. Mobile Ads (Paid)

- All ad formats tailored for mobile + app install/engagement ads.
- Example: An app ad with “Download Now” button on mobile Twitter feed.

Pinterest Marketing Tools

1. Rich Pins

Pins are just posts on Pinterest. **Rich Pins** are special posts that show extra details in real time.

- **Product Pins** → Show live price & availability.
- **App Pins** → Have an “Install” button for apps.
- **Place Pins** → Show map, address, phone number.
- **Article Pins** → Show headline, author, description.

Example: Imagine a photo of a dress on Pinterest → it shows today’s price, “In Stock,” and a **Buy Now** button.

2. Promoted Pins (Paid)

Businesses can **pay to push their pins higher** so more people see them.

Example: A bakery pays Pinterest to make sure when people search “birthday cake,” their cake photo shows up first.

3. Cinematic Pins (Paid, Mobile-focused)

These are **mini animations** that move slightly as you scroll. If you tap, the full animation or video plays.

Example: A gym shows a small animation of a person doing squats → if you tap, you see the full workout video.

4. Promoted Video (Paid)

This is just like a YouTube ad but inside Pinterest. Companies run full **video ads** within the app.

Example: A travel company runs a short video showing beaches in Bali to attract tourists.

5. Pin as Display Ad

A normal image post works like an **advertisement**—if you click it, it takes you to a website.

Example: You see a Nike shoes pin → click it → you land on Nike’s official shop page.

6. Brand Pages

Companies can create **official profiles** (like Instagram business pages). They post collections of pins (boards) to represent their brand.

Example: IKEA’s Pinterest page has boards for **kitchen ideas, bedroom setups, living room designs**.

7. URL Link to Stores

Pins often have a **direct link to buy the product**.

Example: Sephora posts a lipstick photo → you click → it takes you straight to their online store checkout.

Location-Based Marketing

- **Definition:** A marketing strategy where ads are shown to users based on their physical location (city, region, or country).
- **Purpose:** Ensures ads reach only the audience in relevant areas.
- **Example:** A hotel in Pokhara shows ads only to people in Nepal searching for “holiday packages.”
- **Tools used:** Google Ads, Facebook Ads, and integrated services like AdSense.

Google AdSense

- **Definition:** An ad placement tool by Google that connects publishers (blogs, websites, YouTube creators) with advertisers.
- **How it works:**
 1. Advertisers pay Google to run ads.
 2. Google places ads on sites/channels that match the content and audience.
 3. Publishers earn money when users view or click those ads.
- **Example:**
 - A food blog displays cooking-related ads through AdSense.
 - A YouTuber earns when ads play before/during their videos.